

5-7 Chapter Review

5-7a Let's Review Chapter Summary

1. Retail businesses purchase merchandise for selling to customers. On a retail business's income statement, revenue from selling merchandise is reported as sales. The cost of the goods sold is subtracted from sales to arrive at gross profit. The operating expenses are subtracted from gross profit to arrive at operating income. Inventory, which is merchandise not sold, is reported as a current asset on the balance sheet. The chart of accounts for a retail business (NetSolutions) is shown in [Exhibit 2](#).
2. Purchases of merchandise for cash or on account are recorded as inventory. Discounts for early payment of purchases on account are called purchases discounts. If paid within the discount period, a purchase discount decreases the cost of the inventory. Price adjustments or returned merchandise are recorded as a decrease in inventory.

Sales of merchandise for cash or on account are recorded as sales. The cost of goods sold and the reduction in inventory are also recorded at the time of sale.

A seller may offer customers a variety of sales incentives, promotions, and discounts in the form of coupons and rebates. A point-of-sale coupon is recorded as a decrease in sales (revenue) at the time of the customer's purchase. If a coupon or rebate is issued at the time of the customer's purchase, the seller incurs a future liability. In this case, the seller estimates the dollar value of the coupons that will be redeemed, debits Sales (revenue) by that amount, and credits Estimated Coupons Payable. When customers redeem the coupons, Estimated Coupons Payable is debited. When the coupon period has expired, any remaining balance of Estimated Coupons Payable is transferred to Sales (revenue) as an increase (credit balance) or decrease (debit balance). Rebates are accounted for in a similar manner as coupons.

A seller may pay a customer a refund or grant a price allowance for defective, returned, or damaged merchandise. At the end of the accounting period, a seller must estimate future returns, refunds, and allowances. Based upon this estimate, sellers record two adjusting entries. The first adjusting entry debits Sales and credits Customer Refunds Payable. The second adjusting entry debits Estimated Returns Inventory and credits Cost of Goods Sold.

When a customer is issued a refund or allowance, Customer Refunds Payable is debited and either Cash, if the customer has already paid for the merchandise, or

Accounts Receivable is credited. If merchandise is returned, Inventory is debited for the cost of the returned merchandise and Estimated Returns Inventory is credited. On the balance sheet, Estimated Returns Inventory is reported as a current asset and Customer Refunds Payable is reported as a current liability.

When merchandise is shipped FOB shipping point, the buyer pays the freight and debits Inventory. When merchandise is shipped FOB destination, the seller pays the freight and debits Delivery Expense or Freight Out. Inventory transactions can be summarized in T account form as shown in [Exhibit 9](#). Each merchandising transaction affects a buyer and a seller. The liability for sales tax is incurred when the sale is made and is recorded by the seller as a credit to the sales tax payable account. Trade discounts are discounts off the list price of merchandise.

3. At the end of the accounting period, a retail business must record several adjusting entries that differ from those of a service business. An adjusting entry to reconcile the physical inventory and the balance of the perpetual inventory account is made. The normal adjusting entry for when the inventory account is greater than the physical inventory, called inventory shrinkage, is to debit Cost of Goods Sold and credit Inventory. A seller must also record two adjusting entries for expected returns and allowances. The first adjusting entry debits Sales and credits Customer Refunds Payable. The second entry debits Estimated Returns Inventory and credits Cost of Goods Sold.
4. The multiple-step income statement of a retailer reports sales. The cost of the goods sold is subtracted from sales to determine the gross profit. Operating income is determined by subtracting selling and administrative expenses from gross profit. Net income is determined by adding or subtracting the net of other revenue and expense. The income statement may also be reported in a single-step form. The statement of stockholders' equity is similar to that for a service business. The balance sheet reports inventory and estimated returns inventory as current assets. Customer refunds payable is reported as a current liability. The closing entries for a retail business are similar to those for a service business except that Cost of Goods Sold is also closed.
5. The asset turnover ratio measures how effectively a business is using its assets to generate sales. A high ratio indicates an effective use of assets. The asset turnover ratio is computed by dividing sales by average total assets.